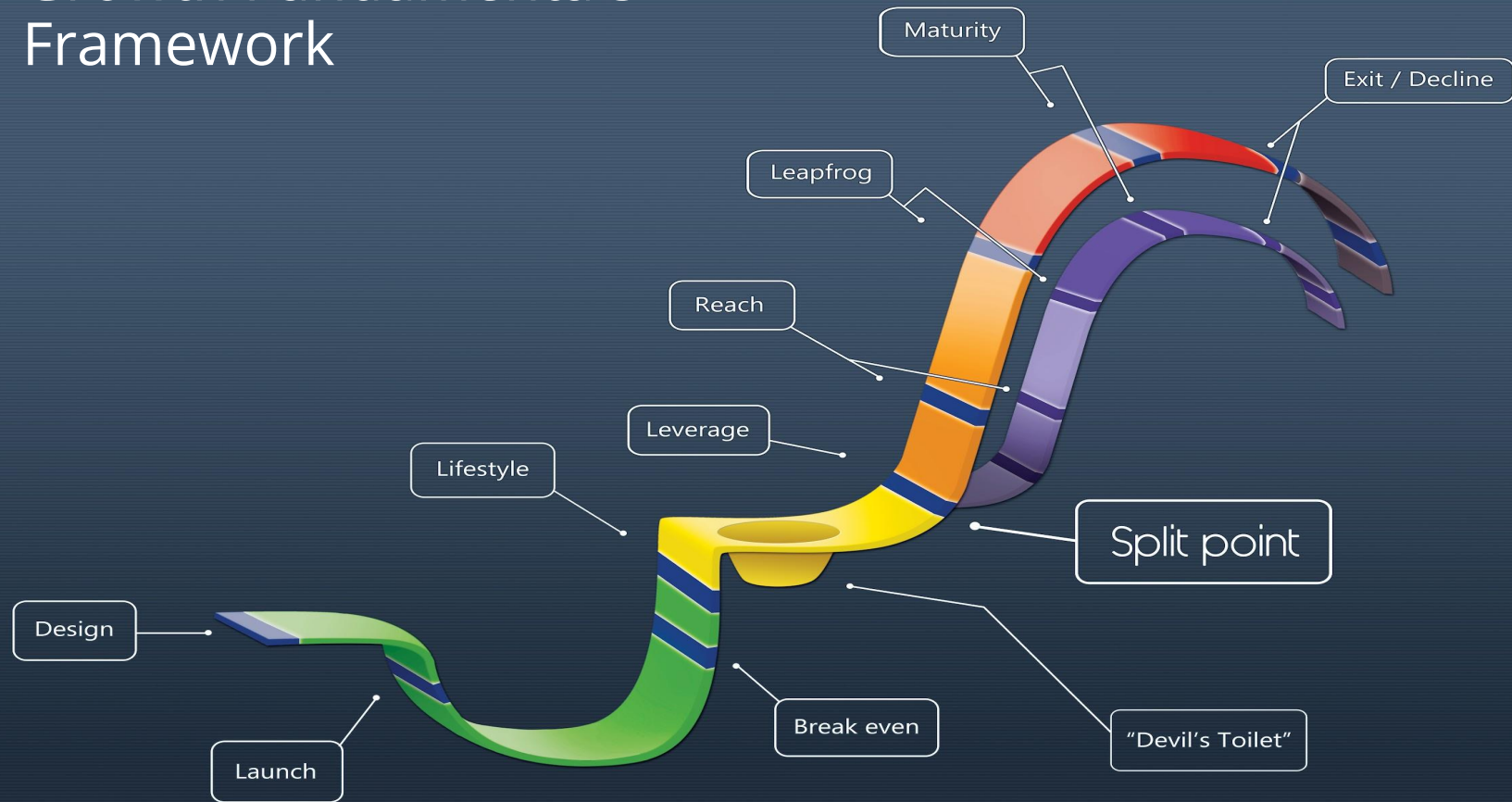
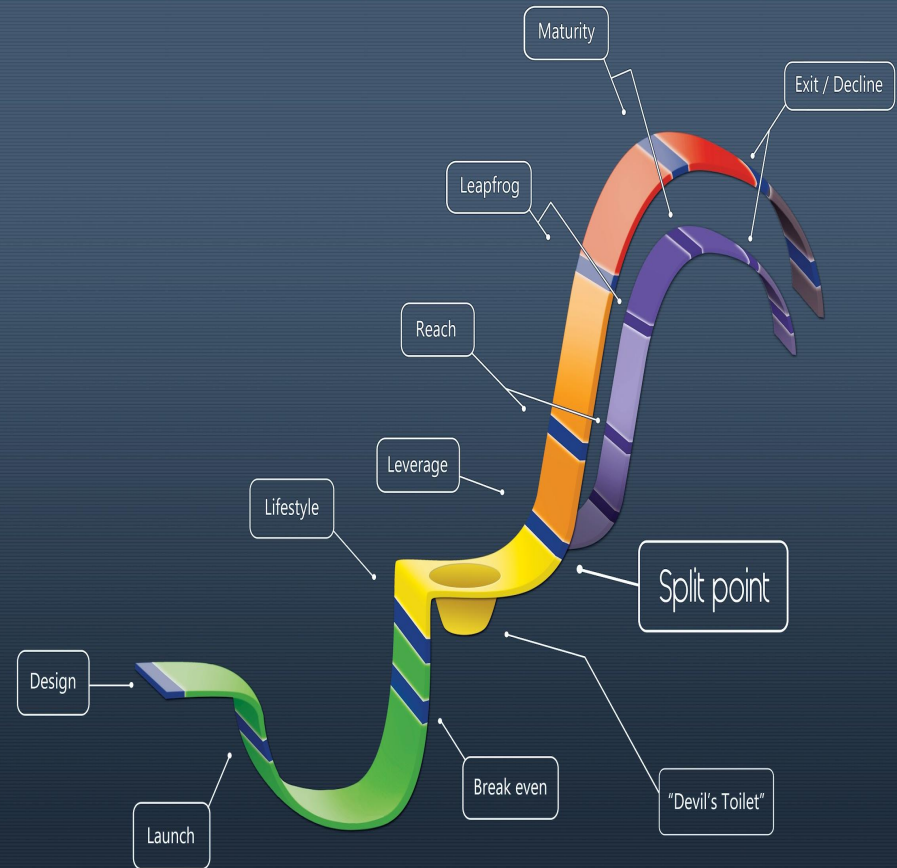


Growth Fundamentals Framework



Stage	Growth Description
Exit/Decline	The business owners realise their capital gain via 'going-concern' sale or MBO to 'groomed staff/Succession to family members. (If successful) OR The business dwindles as the owner/s seek retirement. (If they missed the mark)
Maturity	The business now commands a sizeable market-share and creates a 'barrier to entry' for any business looking to compete against it.
Leapfrog	The business now enjoys the ability to purchase or merge with 'like-minded' competitors. Market share is now substantial...
Reach	The business is now enjoying multiple locations as the 'brand' is beginning to spread. New (additional) products are also part of your world!
Leverage	The business can sustain the lifestyle of the owner/s without the owner/s being directly 'hands-on' on a daily basis.
Lifestyle	The business makes enough profit to allow the owner/s to draw sufficient funds to meet their lifestyle and save money each month.
Break-even	The business makes enough money to cover costs.
Launch	Opening the doors and sharing your dream with the world!
Design	Developing your business concept, getting ready to leave your job!



Growth Fundamentals Framework (components)

- 9 Growth Stages
 - 7 Growth Focus Tactics
 - Devil's Toilet
 - Split Point
 - 5 Psyche Errors
 - 9 Growth Aspects
- Identify Current Position
 - Identify Next Tactical Focus
 - Recognise Profit Plateau Levels
 - Recognise Missing Skill Sets
 - Identify Dominant Psyche Error
 - Maintain Awareness

1. Design



2. Launch



3. Break Even



6. Reach



5. Leverage



4. Lifestyle



7. Leapfrog



8. Maturity



9. Exit / Decline



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What Got You Here...	Stage	What Holds You Back...
Recognition that either the business has 'outgrown you' or it's opportunistic to realise the 'good-will' you've created with both customers and staff alike.	Exit/Decline	Failure to have developed inherent value beyond that of your own personal involvement. Perhaps lack of vision for 'life after business'..?
Vision, Discipline and a willingness to adapt to the needs of your business and marketplace; combined with a sound knowledge of financial and business fundamentals.	Maturity	Lack of financial management expertise; focus shifted from being customer centric to becoming absorbed with internal and 'political' issues. Lost 'contact' with the marketplace.
Sound business model with clarity of your customer's drivers and the opportunity for ancillary services/products. Opportunity to capture market share with alternative distribution.	Leapfrog	Lack of understanding of the 'Epistemology' behind your potential alliance or acquisition partner combined with fragile Governance protocols. (Perhaps numerics 'just don't add up?')
Proven systems and market acceptance of product/service combined with brand awareness in local marketplace. Key staff capable of 'stepping up'.	Reach	Lack of knowledge around 'consumer dynamics' as they relate to the new marketplace or product/service that you plan to adopt.
Recognition of market demand (potential) and the need to meet it in order to stay competitive, combined with desire to have business less reliant on owner/s.	Leverage	Lack of faith in Key Staff (may be well founded) combined with poor delegation/visibility/review procedures. Perhaps a reluctance to 'let go' or a business model built around the 'specialist' service provider model. Governance ethos is not yet ingrained throughout.
A clear understanding of the value you offer your customers and the financial awareness of 'what makes a difference & what doesn't'...	Lifestyle	Lack of clarity around your business numerics or lack of discipline in completing the tasks that matter, on time.
Significant work and effort combined with a strong focus on customer delivery.	Break-even	Lack of financial management or sales/marketing basics, strained resources and fatigue...
Determined to 'have a go' and armed with enough supporting information to believe 'it's possible'...	Launch	Realisation of the task enormity and financial risks of failure. Perhaps legitimate timing or resource obstacles.
Frustrated with current income, lack of autonomy or time freedom combined with the desire to 'see what you're capable of'...	Design	Current job security and fear of the unknown. Times of complete clarity and sense of purpose clashed with doubt and resource fears...

Growth Fundamentals – ‘The Devil’s Toilet’

The ‘Devil’s Toilet’ is a well known rapid on the Zambezi river which requires careful navigation, else it will ‘suck you in backwards’ as you attempt to raft a course to avoid it.

The ‘Devil’s Toilet’ in business growth terms is not unlike the Zambezi rapid... As you centre your attention on the path or tasks ahead you must remain aware of the ‘pulling and sucking forces’ that try to knock you off your chosen course.

Recognising that business growth involves elements of scale is critical to your success; we refer to them as Profit Plateau Levels and they’re like a series of rapids in that they don’t always appear ‘above the surface’. Just like the Zambezi river however, they will provide serious challenges that will confront you many times throughout your business journey.



Each business stage could be viewed as another dangerous rapid but nowhere is this more treacherous than between the stages of ‘lifestyle to leverage’. A high degree of complacency can exist here; combined with the potential for fatigue from the significant effort required to achieve the ‘lifestyle’ level in the first place.

When rafting the Zambezi you should ‘rest for lunch’ before attempting the Devil’s Toilet; the business equivalent is to ‘bank your profits’ and improve your systems before setting off for glory...

Growth Fundamentals – ‘The Split Point’

The ‘Split Point’ is the stage at which your business suddenly becomes far greater than just you (the owner).

This is the point when you realise that ‘what got you here, won’t get you there’ and you have to step aside and let the team around you drive the future stages of business growth.

(Scary ain’t it!)

Many business owners travel through the ‘journey’ of ‘Dreamer’ to ‘Creator’ to ‘Technician’ to ‘Salesman’ through to ‘Manager’ and eventually arrive at the lofty position of ‘Dog’s body’. The key is to recognise the skills needed of you in the ‘future business’ and to understand that in most cases, the answer does not lie in you doing everything for yourself.



The trick then, is to know enough to be able to make informed decisions about who you hire and what you need them to do for your business. Thereafter, your focus will shift from ‘Visionary’ to ‘Cheerleader’ as you realise the greatest impact you can have on your business is to get the best out of those around you.

Remember always, the task has a value – the person doesn’t. What we mean by that is, a local supermarket can’t afford to pay \$650 an hour to a guy who packs grocery bags, just because he’s qualified as a surgeon...

Your job (as the owner) is to determine the priority (and the value) of the tasks required by your business...

7 Growth Focus Tactics

Growth through Presence & Scale

Growth through Alliances & Acquisition
(Expansion)

Growth through Market Extension &
Product Divergence

Growth through Delegation,
Replication or Quantification
(Intelligence)

Growth through Clarity & Strategy
(Orientation)

Growth through Enthusiasm
& Creativity
(Foundation)

Maturity

Exit / Decline

Growth through Realisation
(Succession)

Leapfrog

Reach

Leverage

Lifestyle

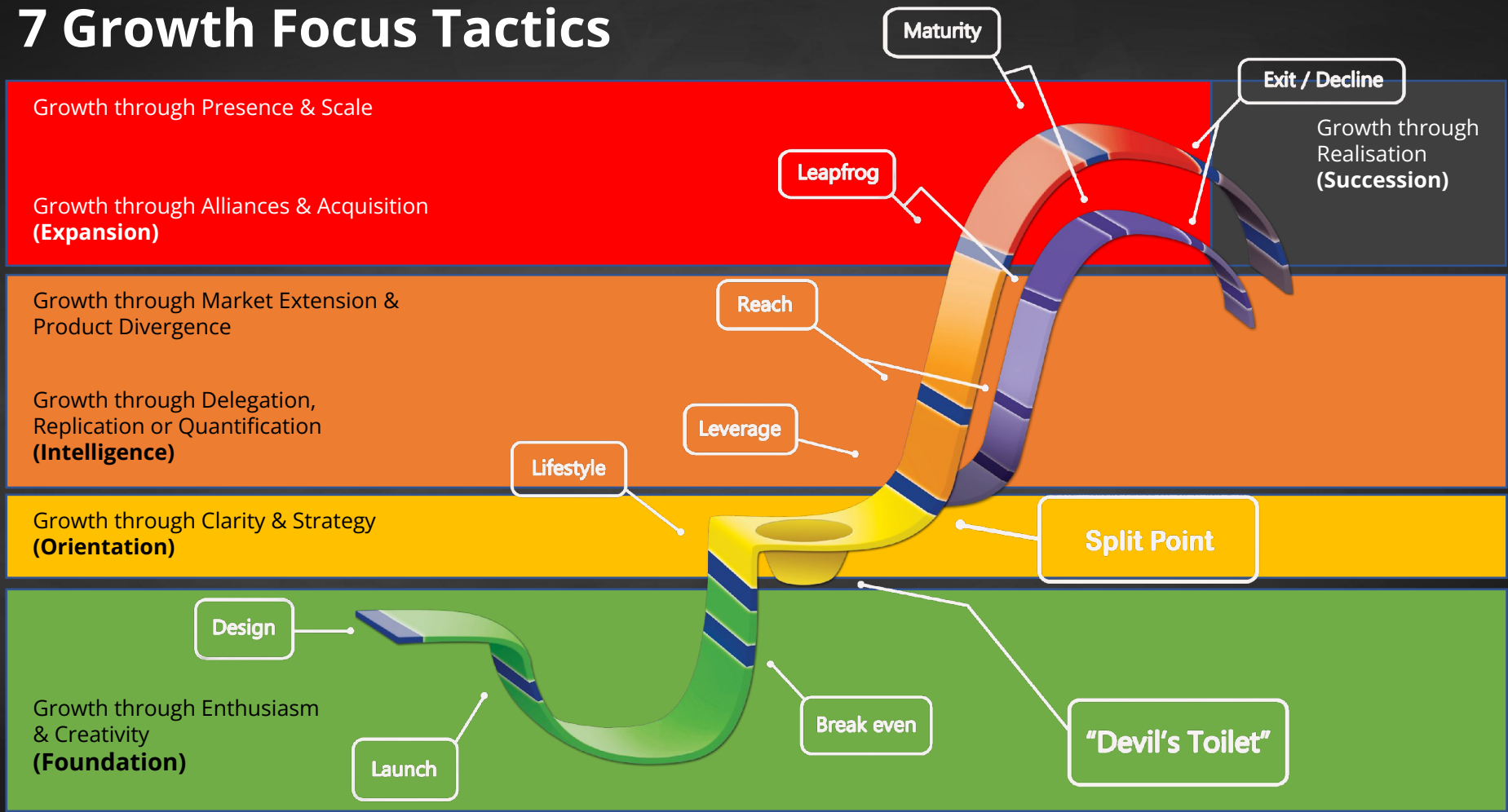
Split Point

Design

Launch

Break even

"Devil's Toilet"



Growth Stage Fundamentals Explained...

Growth through Market Extension & Product Divergence

Market extension & Product divergence is about 'finding greater revenue to feed your machine'. It's a natural consequence of your business expanding after you've Leveraged your activities, via the steps explained in the previous level. All living things require 'EXPANSION' as part of their growth cycle; your business is no different. The inability to find additional 'sustenance' to meet your new 'consumption requirements' will, as in all living things, stunt your long term growth. This is a precarious stage as you are literally forced to confront new frontiers either in the form of new markets (physical) that are unknown to you, or, new products. This, combined with the previous LEVERAGE activities (prior) requires a major mind set shift for the business owner/s.

Growth through Delegation, Replication or Quantification

Delegation is the ability to dissect your activities/procedures such that a team member can complete SOME of the process. Much like how a surgeon employs a nurse to deal with more minor applications, freeing the surgeon to do a greater number of complicated procedures. Replication is the ability for a team member to do ALL of the task or, the ability to automate or reproduce an item with relative ease. Quantification is the ability to 'magnify' your value by multiplying the number of people you engage with or the fee you charge. (or both). You can of course, apply a combination of all 3 to achieve Leverage.

Growth through Clarity & Strategy

'Clarity & Strategy' is about the business owner realising that 'sometimes, less is more'. It's about identifying the difference between being a great artisan vs. a great business owner and it's the natural time for the owner/s to step back and reflect on past efforts, learn from the good and the bad, and identify the new focus and activities required for the business to grow. It's about thinking first, doing second.

Growth through Enthusiasm & Creativity

'Enthusiasm & Creativity' is all about the business owner 'pushing hard'. It's about having a general idea or vision for the business, but the focus is on 'putting their head down and doing the hard yards'. This is an essential component for any business success as momentum (and subsequent learning via observation and reflection) can never be achieved without this focused effort. It's about the 'fun' of being in business'.

Growth Stage Fundamentals Explained...

Growth through Realisation of Investment in Self, Team and Business/Processes.

All living things die in the end; it's just the terms of the demise that's 'up for grabs'. Whilst exiting the business may not be seen as 'Growth' by some, it does in fact require significant personal growth of the business owner to step out of an organisation that they personally identify with. The successful sale of a business is dependant on expectations of growth by at least one of the parties; the more demonstrable this is, the easier to quantify the value to both parties. Therein, growth must be as central to every aspect of business culture within the organisation as possible; you can't 'stage an impression of growth' as you dress for sale, it must be part of everything you've ever done in your business.

Growth through Presence & Scale

Presence & Scale is the goal of many living beings; the perceived strength and security is alluring but again, with size and position comes increased attack from others that seek the resource you consume. Maintenance and consistency is key here, as is discipline and awareness as it's easy to become complacent and arrogant. Communication lines are essential and requires that it flows 'both ways'. This is the stage that a quality Chairman or CEO shows their form, connecting and aligning teams to 'stay on alert' is primary. (this is definitely not a time to relax)

Growth through Alliances & Acquisition

Alliances and Acquisition is well described by the term 'Leapfrog' as you're effectively using the skills and resource (primarily distribution & market penetration) to achieve the expansive growth necessary to meet current consumption or future growth needs. Whilst the previous level provided threats of a 'knowledge based nature', this stage provides equally as disruptive threats in the form of 'human nature'. Much like a marriage, these steps are surrounded by optimistic emotions and are far easier to 'get into than to get out of'. Understanding the difference between compromising and collaborating is critical at this level; far too often people 'go along to get along' out of fear of damaging early relations. This simply sets the scene for future 'personality clashes' and 'political games'.

The 5 Layers of Complexity & Associated Psyche Errors

Succession	Principles that give rise to understanding The Separation of Value & Worth. "Learning to get out of your own way"	(Trying to Avoid) Over-Identification
Expansion	Principles that give rise to understanding the Chaos of Interdependency and Affect. "There's a fine line between Expansion and Explosion"	(Trying to Avoid) Over-Exposure
Intelligence	Principles that give rise to Contextual Awareness "Learning to Notice What You Don't Know"	(Trying to Avoid) Optimism Bias
Orientation	Principles that give rise to understanding Your Purpose & Meaning. "Knowing Your Why & How"	(Trying to Avoid) Complacency
Foundation	Principles that give rise to understanding How things Work. "Being Curious – Open Heart & Open Mind"	(Trying to Avoid) Confirmation Bias

Psyche Error	Drivers & Manifestations
(Trying to Avoid) Role-Identification	Identification is the psychological phenomenon by which people 'Ascribes to oneself, the qualities or characteristics of another person'. Role Identification may involve the mimicking of a specific mentor or aspirational figure but it may also be the 'acting out' of the Ego to appear consistent with one's own super ego ideals. In effect, people start acting how a 'Boss' should; in whatever they believe the circumstance requires. How they dress, what they drive, the way they treat subordinates etc. are all 'manufactured' to appear consistent with 'appearances'. This manifests in poor decision making or the inability to 'get out of their own way' which is often viewed as being inauthentic. This is more evident during times of planned succession since the 'business person' has replaced the 'person' and the feelings of the 'lost self' are now very confronting. What will life after work look like? Who will value my opinion...?
(Trying to Avoid) Over-Exposure (Mere-Exposure Effect / Familiarity Principle)	The mere-exposure effect is a psychological phenomenon by which people tend to develop a preference for things merely because they are familiar with them; this is sometimes called the familiarity principle. The effect is driven by a desire to allocate 'Cathexis Energy' towards new (current) or perceived (future) threats rather than challenging what is known. The known is safe (hence the term "better the devil you know...") but the future represents fear or challenge; this is even more tiresome if you challenge the known at the same time! In business this is supported by the "this is how we've always done it" phrase. Additionally (in businesses with existing scale) it relates to an avoidance of commitment or attempts to minimise exposure. This manifests in actions of 'Keeping What We Have' rather than focusing on 'Achieving What We Need'. <i>(Nokia and Kodak are classic examples of this principle)</i>
(Trying to Avoid) Optimism Bias	Optimism is in response to life/death instinct which is born out of the thought processes of 'mental time travel'. The ability to imagine the future is critical for our survival, it allows us to plan ahead, save food and resources for times of scarcity and endure hard work in anticipation of a future reward. However, the ability to view our long term future also allows us to consider our own death; so we've learnt to practice Hope & Faith as a means of re-directing our mental energy. The negative manifestation of Optimism Bias is that we seek to delete all NEGATIVE information in an attempt to 'hold on to what we've got' EVEN IF IT SUPPORTS OUR EXISTING BELIEF. In effect, we can learn information but choose to ignore it even if we believe it to be true, if it threatens our attachments or security. (This differs from confirmation bias where we accept all information in support of current beliefs and act accordingly)
(Trying to Avoid) Complacency	Complacency is driven by the mind's (and body) requirement to recover after sustained periods of mental and physical exhaustion. Freud discussed the notion of Cathexis Energy (a combination of physical and emotional energy being consumed via neurotransmitter & electrical activity) as being our life force or 'Libidinal Energy'; it's what drives us. From time to time we need to rest and in business this is often prevalent upon reaching a stage of perceived security. The negative manifestation of this is the inability to maintain attention and focus on the external environment or 'proven' internal processes; especially when owners seek to extract themselves from day to day activities. (which is entirely consistent with the next growth tactic - Leverage)
(Trying to Avoid) Confirmation Bias	One of the key drivers of confirmation bias is 'Cognitive Dissonance'. (reality not aligned with desires) In an attempt to avoid feeling anxiety we search for information (or shared views) to support our current view, so that we are less confronted by our 'True Reality'. This manifests into us avoiding the truth and repeating same (or similar) mistakes (behaviour) whilst suppressing our growing fears. This is perfectly normal when establishing a business since we are taught that clarity and singular focus are essential elements of our own success; we can therefore be misguided into thinking that we're not ignoring reality but instead, maintain focus on our goals. (This should be a clue since our goals are the same desires for which our reality is yet to be aligned...)

The 9 Growth Aspects



Growth Aspect	Aspect Description
Process Improvement	Operations, Work In Progress, Transactional Volume, Quality Control, Internal Statistics & Data Collection.
Customer Focus	Their Experience, (Our) Product / Service Delivery & Development.
Sales (Process)	Achieving Critical Revenue Objectives (consistently), Securing Resource, Managing Critical External Relations.
Authenticity	Values (Cultural), Marketing (Outbound Messaging), Aesthetics, 'Feel' (Vibe/Morale), Packaging.
Inventory & Equipment	Consumable Stock, Materials or Supplies, Tools, Machinery, Vehicles, Non-Consumable Working Assets.
Team Focus	Skills Development, Internal Communication, Change Management, Recruitment, Knowledge Management, Rewards/ Incentives.
Innovation	Technology, Disruption, (External) Research & Development, Re-Invention.
Governance	Vision, Strategic Planning, Sound Decision (Financial) Making Process, Leadership, Communication Lines, Financial Management, Risk Management.
Harmony / Balance	Removing Distractions, Health & Fitness, 'Well-Being', Recovering (Financial also).

Growth Fundamentals Framework (Summary)

9 Growth Stages	7 Growth Focus Tactics	5 Complexity Layers (+Psyche Errors)	9 Growth Aspects
1. Design	Enthusiasm & Creativity	Foundation (Confirmation Bias)	Process Improvement
2. Launch			Customer Focus
3. Break-even			Sales (Process)
4. Lifestyle	Clarity & Strategy	Orientation (Complacency)	Authenticity/Feel
5. Leverage	Delegation, Replication and Quantification	Intelligence (Optimism Bias)	Inventory & Equipment
6. Reach	Market Extension & Product Divergence		Team Focus
7. Leapfrog	Alliance & Acquisition	Expansion (Mere-Exposure Effect)	Innovation
8. Maturity	Presence & Scale		Governance
9. Exit/Decline	Realisation	Succession (Over Identification)	Harmony/Balance

The 8 Profit Levers

- | | | |
|----|------------------------|--|
| 1. | Number of Foot-traffic | (Market Attention – Outbound Message Views) |
| 2. | Number of Prospects | (Shop Walk-ins / Phone-ins or Social 'Click Thru') |
| 3. | Number of Customers | (Percentage of Prospects that Become Customers) |

X

- | | | |
|----|----------------------------|---|
| 4. | Average Customer Spend | (Total Sales Value ÷ by Total Number of Transactions) |
| 5. | Average Customer Frequency | (How often do they buy per mth or year) |

= Total Revenue

-
- | | | |
|----|-------------------------|---|
| 6. | Sales Margin | (The Difference Between How Much You Sell It For minus What It Cost You) |
| 7. | Activity Driven Costs | (The Cost of Gaining A Customer) |
| 8. | Fixed Costs (Overheads) | (Total <Regular> Cost of 'Being Open For Business' – Even When Nobody Buys) |

= Total Expenses

Total Revenue (minus) Total Expenses = Profit.

(Trying to Avoid)
Confirmation Bias

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Familiarity
Principle)

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What will life after work look like? Who will value my opinion...?

(Supplementary Psychology Phenomenon)

The Anchoring Effect	Primary perceptions (linger) and are highly influential of subsequent perceptions. <i>(ex: You see a coat advertised at \$650 marked down to 'just' \$450 - influencing your belief about quality and value of the coat.)</i>
The Sunk Cost Fallacy	When we become focused on the (loss of) investment to-date, rather than the probable outcome (return) in future. Sometimes known as the 'Gambler's Archipelago'. <i>(If I can just get to spot x, I can fix things from there...)</i>
The Fundamental Attribution Error	Assumption - People's behaviour is mostly influenced by their personality type. Reality - People's behaviour is mostly influenced by environment & circumstance.
The Third Person Effect	Assumption - You believe your opinions are based on your own experience and facts; whilst those you disagree with are falling for the lies and propaganda from sources you don't trust. Reality - Everyone is more gullible to persuasion than they realise; whilst thinking only 'others' can be easily fooled.
The Just World Fallacy	Assumption - Those that are struggling 'with life' must have been lazy, foolish or done something to deserve failure. Reality - Some people achieve incredible success without really doing much to earn it; whilst others do evil things and get away with it without any negative consequence.